Project 1 - Research Evolution

Edition A preservation

Edition A is preserved without change at both `project-1-edition-a.md` and `AAPL-research/Apple_2026-09-03_edition-a.md`. This document is a separate Edition B update, not an edit to either Edition A file.

Edition B

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Edition B date: October 8, 2026

Relation to Edition A submission/receipt: The original Edition A is preserved unchanged. Edition B is a separate later research-and-model-development update, not an edit to Edition A.

Brightspace receipt / attempt identifier: The Brightspace receipt is not currently available in the repository record. No receipt, timestamp, or attempt identifier is claimed here.

AI-use record: After Edition A, I used Codex and Gemini for research organization, source checking, model development, and documentation. I reviewed material Apple 10-K inputs and executed model outputs, retaining or qualifying AI suggestions only when supported by the filing or executed model. Exact tool-use dates, prompts, and access paths are not documented.

Before/after evidence

Research area	Edition A baseline	Edition B directly supported update	Evidence / status
Company and intended decision	Apple Inc. (AAPL); an investment committee was to determine whether to initiate, watch/defer, or not initiate.	No change proposed.	`project-1-edition-a.md`, "Decision and intended user."
Initial conclusion	Watch/Defer pending a valuation of operating business and common equity.	Watch/Defer remains the conclusion; Lab 12 says the review did not change it.	`AAPL-research/lab-12/aapl_lab12_review.md`.
FCFF valuation evidence	Edition A said an intrinsic-value range had not yet been established.	Lab 06 reports a base value of $80.1646 per diluted share and a WACC/terminal-growth sensitivity range of $65.6625-$103.9522, using its September 9, 2026 market-price comparison.	`AAPL_Lab_06_input_table.md`; not a final consolidated range.
Comparable/P/E evidence	Edition A did not include a completed comparable-valuation conclusion.	Lab 07 reports a $214.53 implied price from its qualified-peer median P/E; Lab 08 reports a two-peer P/E range of $153.38-$236.38.	Lab 07 and Lab 08 files; different peer sets and no averaging.
Comparable/EV/EBITDA cross-check	Edition A did not include a completed EV/EBITDA conclusion.	The AAPL/GRMN single-peer cross-check reports Garmin EV/EBITDA of 24.3132x and an implied AAPL diluted-share value of $230.37 using the September 9, 2026 price convention.	`AAPL-research/project-1/aapl_ev_ebitda_sources.md`; not a peer median or target price.
Five-year pro forma	Edition A did not state a completed pro-forma result.	Lab 10 reports $118.12 per fixed diluted share and compares it with a $337.02 completed regular-session market close on September 23, 2026.	`AAPL-research/lab-10/aapl_lab10_results.md`.
Sensitivity	Edition A did not state a completed sensitivity result.	Lab 11 records gross margin as the larger tested driver by value-per-share span: $5.66 versus $4.19 for Mac-category revenue growth.	`AAPL-research/lab-11/aapl_lab11_notes.md`; conditional on stated ranges.

Research area	Edition A baseline	Edition B directly supported update	Evidence / status
Research priority and limitations	Edition A identified unresolved cash classification, share-count convention, and model-input research.	Lab 12 retains model simplifications and an unmodeled Services downside case; it prioritizes Services-related margin and regulatory evidence.	`AAPL-research/lab-12/aapl_lab12_review.md`.
Final valuation evidence and recommendation	Edition A did not state a final consolidated valuation range; it was Watch/Defer pending valuation work.	Separate method evidence is FCFF DCF $65.6625-$103.9522, pro-forma/FCFE $115.29-$120.94 sensitivity cases, two-peer P/E $153.38-$236.38, and single-peer EV/EBITDA $230.37. Watch/Defer remains the recommendation.	Methods are not averaged or represented as one precise target price.

What changed from Edition A to Edition B, and why?

Edition A had not established an intrinsic-value range. Edition B adds the documented FCFF DCF, P/E, five-year pro-forma and sensitivity results, and the AAPL/GRMN single-peer EV/EBITDA cross-check. Watch/Defer remains appropriate because the methods remain separate, valuation dates are not aligned, the FCFF and cash treatment remain unreconciled, peer comparability is limited, and no Services-downside model has been run. This later update does not alter the preserved Edition A.

Record limits before submission

- The original Edition A remains preserved with its original fields; this Edition B document does not supply facts that were not recorded there.
- The Brightspace receipt, timestamp, and attempt identifier are not currently available.
- Exact AI-use dates, prompts, access paths, and a complete tool-by-tool validation log are not documented.